

RSI DIVERGENCE

Hello Friends...

Welcome back to Chartbank Learning session!!

Today we are going to learn about a simple reversal strategy using RSI divergence to identify the change in trend.

Before going into the session let us understand the basics of RSI and divergence.

RSI (Relative Strength Index)

RSI is a very vast subject and it is very difficult to cover it in a single session. Hence I will be covering only basics of it and then one powerful strategy to understand the trend reversal using divergence.

What is RSI?

RSI is one of the leading technical indicator developed by J.Welles Wilder Jr. RSI helps us to understand the change in trend by identifying whether a stock is overbought or oversold. It measures the speed and change of price movements and compares the average gain and the average loss over a certain period. So for example, if your RSI is set to 14, it compares the bullish candles and the bearish candles over the past 14 candles. When the RSI value is low, it means that there were more and stronger bearish candles than bullish candles over the past 14 candles; and when the RSI is high it means that there were more and larger bullish candles over the past 14 candles.

RSI is called as Momentum Oscillator because it oscillates between 0 and 100. In common, a price with RSI reading over 70 is identified as overbought and an RSI reading of below 30 is considered as oversold. These are widely accepted indicative numbers and it does not mean that you enter new position or exit your position once RSI reaches either 30 or 70. It just indicates that the price is going to reverse sooner or later hence you need to be alert whether to take fresh position or exit your holdings.

Example - Nifty Daily chart with RSI indicator.



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Divergence:

A Divergence is basically a disagreement between price and an indicator. Which means that, price will continue to make a higher high but the RSI indicator you are using makes a lower high. This is a clear signal that the uptrend is going to reverse sooner. So you need to make decision either to book profit or keep a strict SL.

Divergence works better when the price is in clear uptrend or downtrend. Avoid looking for divergence during sideways market where price is moving within a range. Divergence that occurs in uptrend is called Bearish divergence and divergence occurs in downtrend is called Bullish divergence. During Bullish divergence, price makes a lower low and the indicator makes higher low. In bearish divergence, price makes a higher high and the indicator makes lower high.

Bullish Divergence Example:



Bearish Divergence Example:



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The RSI indicator can remain in overbought condition for extended period of time and the price can make new higher highs. Similarly indicator can remain in oversold condition for a longer time while stock is making new lower lows. This can be confusing for many new traders. So using RSI indicator alone is not wise and you need to combine it with support and resistance levels using trend lines for identifying the breakout or breakdown points or reversal candlestick patterns etc.,

Example:

Price making higher highs and the RSI indicator staying in overbought conditions.



So, how to avoid wrong trade entries and identify the right trend reversal during overbought condition? That's where our favorite support and resistance zone using trend line comes to rescue us. U can draw a trend line and wait for price to break down below the trend line support for a confirmation. Refer below chart for better understanding of the same. As long as the price remain within the Trend line support, you can on with uptrend. Once price closes below the price trend line as well as RSI, the uptrend is over and it confirms the reversal in trend. During this period, you need to be very cautious and either you can skip to next stock or maintain strict SL because price can correct quickly once the trend reversal is confirmed.



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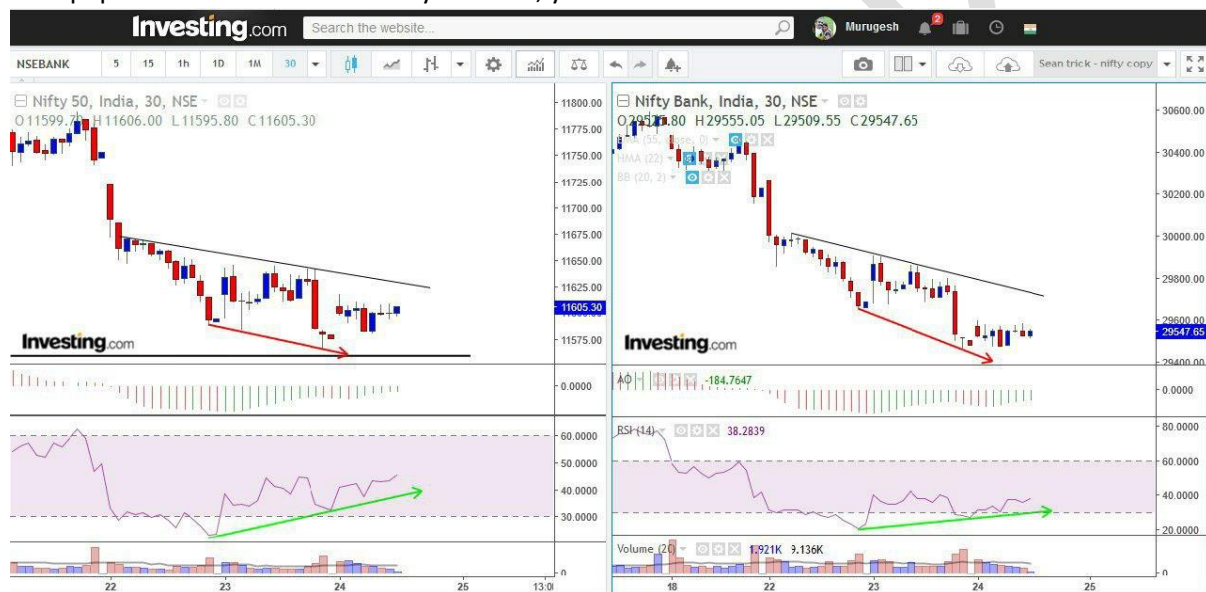
Divergence can be found in all the time frame.

For index intraday trades, I use 30 min or hourly chart to identify divergence and I have shared the screen shots of the same many times. For positional trades for stocks, divergence found in hourly or daily timeframe and above will be good.

Explaining few trades step by step for better understanding.

Example1 – Nifty & Bank nifty, 24th April, 2019. Bullish divergence in 30 min chart.

Bullish divergence found near 11600 and the support is 11540 which is few points low below the recent lows. Aggressive players may go longs immediately after finding divergence with minimum two touch points. Safe players can wait for breakout confirmation or till they master this pattern with paper trades. But the earlier you enter, your SL will be small.



You can see the price giving breakout from the trend line resistance and confirms the trend reversal.

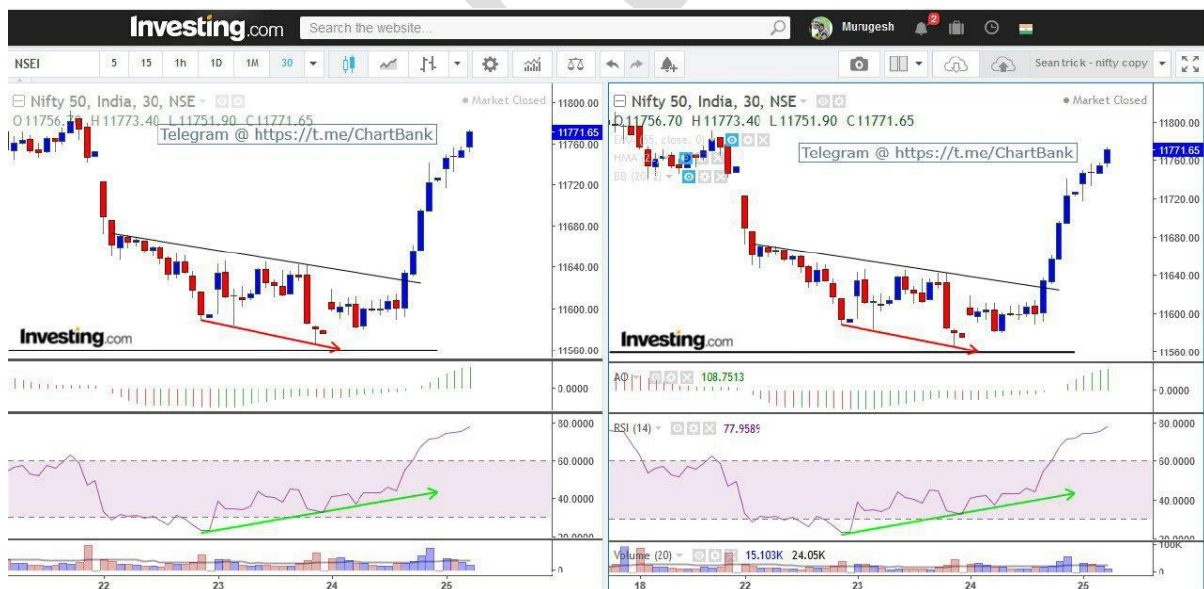


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I have asked to book profit when the price hit 11685 which gave 75 points and it is decent intraday profit.



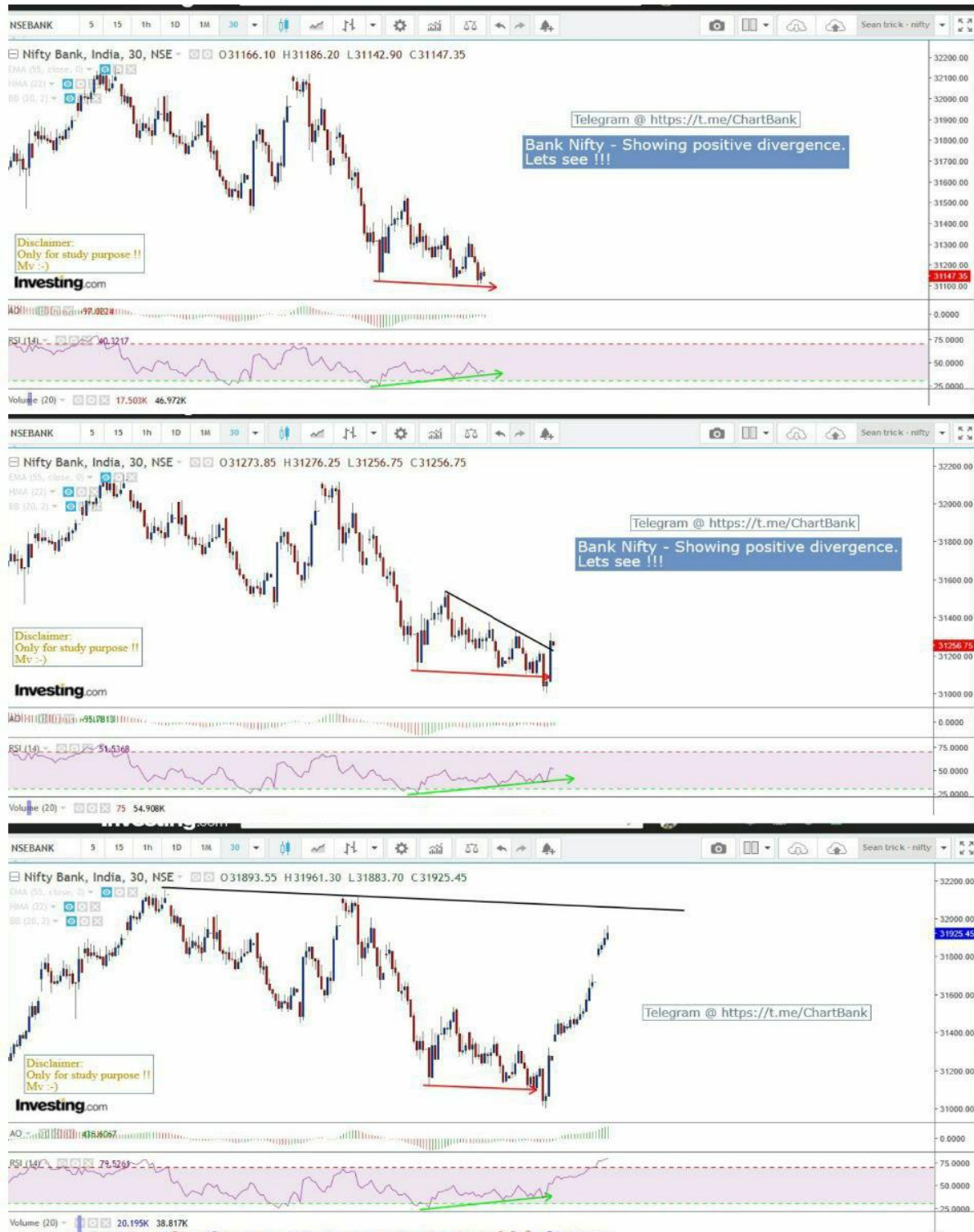
Price continue to shoot up and hit 11777+-. The same can be seen in the below given charts.



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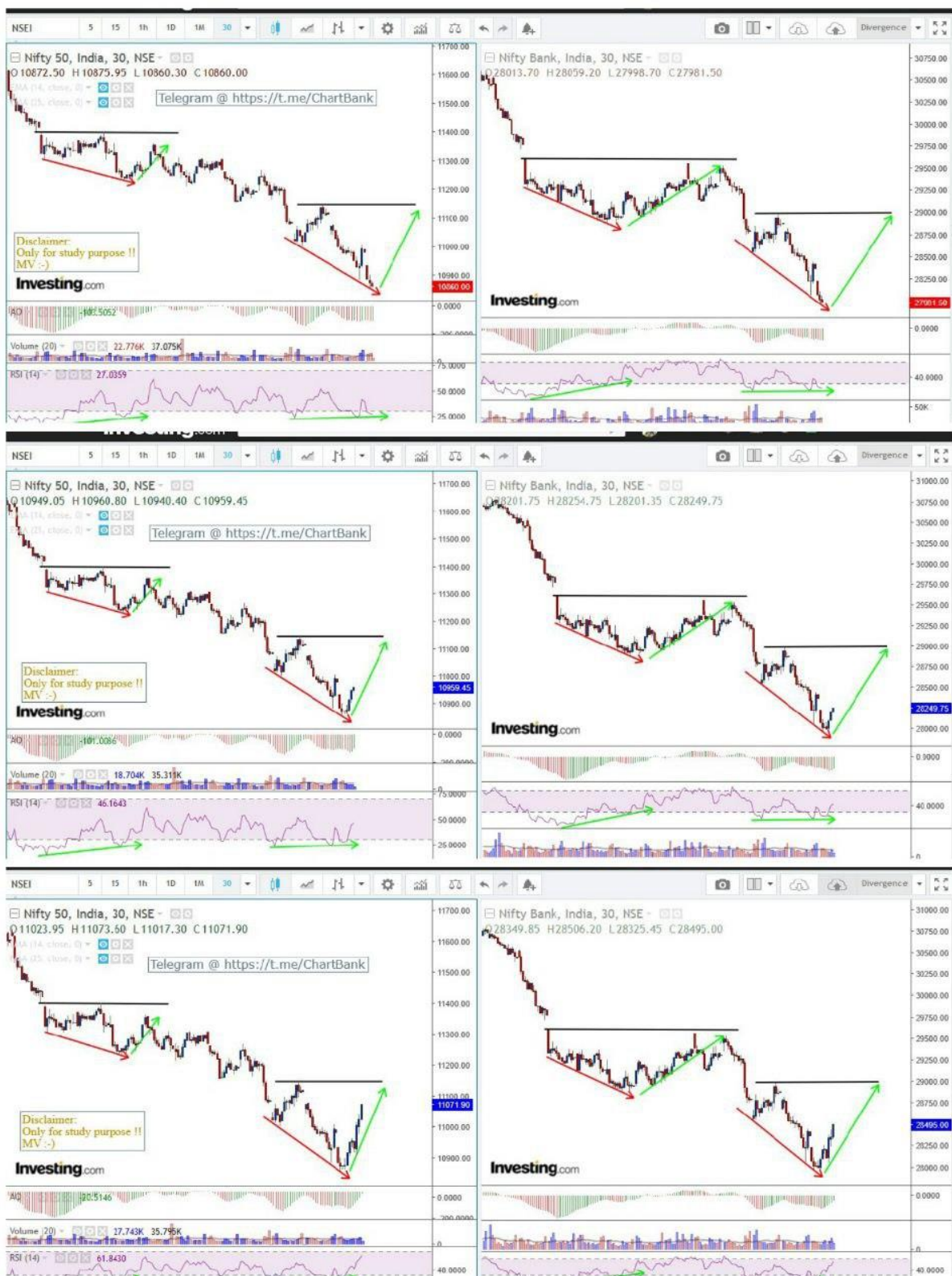
Example 2 – Bank Nifty, 13th December - 30 min chart positive divergence

Divergence spotted near 31150 in the first chart. As you can see in the 2nd chart, price again made lower low by breaking the red trend line but RSI did not break the green trend line. There is also a bullish hammer formed hence continued with the trade. Once price breaks out of the falling triangle, the price just shoot up and moved up to next resistance level drawn!!



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Example 3 – Index chart. I hope it is self-explanatory now. Target can be next nearest resistance zone. Support and resistance can be identified using trend lines as explained earlier. I found this divergence more useful in identifying intraday reversal in index using 30 min / 60 min charts.



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Let us see some more example from Equity and commodities. I use daily/Weekly time frame to identify divergence in Equities and commodities for positional trades.

Example 4 – Cipla – Weekly time frame.

I have spotted divergence in Cipla after price have shoot up from the divergence point. But found there is a falling Wedge pattern and good chance for it to give fresh breakout since RSI also near trend line resistance with divergence. You can see the price and RSI given fresh breakout and price reached nearest horizontal resistance line drawn. Since the volume and momentum is strong price given further breakout from the resistance zone. **This way I combine RSI divergence along with technical breakouts to ride on with the trend.**



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Example – 5 – Natural Gas – Daily time frame



I am sure the above Natural Gas daily chart is very self-explanatory. Why I am saying to keep the nearest resistance zone as your target is it may correct from those levels and may retest its support zone again. Same can be seen in the below chart. Price corrected after hitting resistance zone.



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Since I don't have the habit of doing short trading, I do not have trade example charts for negative divergence. Negative divergence is just opposite to positive divergence. I will give Nifty index chart with both positive and negative divergences for better understanding of the same.

Nifty chart with positive and Negative divergence:



Bank nifty chart with Positive divergences and its result:

In the below chart I have marked only positive divergences. But you can easily spot the negative divergences also in the same chart with naked eyes. You can also see how the trend line are helping to mark support and resistance zones.



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That's all for the day. I hope all of you liked the session and understood this simple reversal strategy to identify the change in trend. You will do wonders by practicing these simple tricks. Keep practicing and master it.

Wish you all the best and success.

You can send your feedback/Doubts to
Feedback.chartbank@gmail.com.

You can also join our telegram channel and find all other charts and previous learning PDFs.

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Keep learning and earning.

With loads of Luv,

Your Mv 😊

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